

TRADEZONE ANALYST MEMO

To: Head of Growth & Head of Seller Operations

From: Data Analyst

Subject: TradeZone Performance Review (2023–2024)

Date: April 23, 2026

1. Executive Summary

TradeZone experienced strong growth in transaction volume between 2023 and 2024; however, this growth is uneven and masks underlying inefficiencies in seller performance and customer retention. A small segment of high-value customers and top-performing sellers drive a disproportionate share of revenue, while fulfilment delays and inconsistent seller quality are likely contributing to declining customer conversion and satisfaction.

2. Key Findings

1. Revenue Growth is Concentrated in Specific Quarters (Q4 Analysis) (From Q4: Quarterly Revenue Trends)

Revenue increased significantly in Q4, showing the strongest year-over-year growth between 2023 and 2024. However, other quarters showed slower or inconsistent growth.

What this means: TradeZone's revenue is highly seasonal and dependent on peak periods rather than consistent performance throughout the year. This suggests that promotional efforts or demand spikes are not being sustained across all quarters.

2. Revenue is Driven by a Small Segment of High-Spending Customers (From Q5: Customer Spend Segmentation)

High spenders ($\geq \text{₱}100,000$) represent a smaller portion of customers but contribute the majority of total revenue, while low spenders make up the largest customer group with minimal revenue contribution.

What this means: The business is highly dependent on a small group of valuable customers. Losing these customers would have a disproportionate negative impact on total revenue.

3. Seller Performance Varies Significantly in Fulfilment Speed and Ratings (From Q3 & Q8: Seller Efficiency & Top Sellers)

Top-performing sellers combine fast fulfilment times, high ratings (≥ 4.0), and strong revenue performance, while many sellers fall below these benchmarks.

What this means: There is inconsistency in seller quality across the platform. Slow delivery and poor service from underperforming sellers likely contribute to declining customer satisfaction and retention.

3. Recommendations

1. Implement Seller Performance Monitoring and Enforcement

Action: Introduce a seller performance framework that tracks fulfilment time, order volume, and customer ratings. Flag and penalize underperforming sellers while incentivizing top performers.

Responsible Team:

- Seller Operations Team

Expected Outcome (60–90 days):

- Improved average delivery time
- Increase in average seller ratings
- Higher customer satisfaction and repeat purchases

2. Develop Retention Strategy for High-Value Customers

Action: Launch targeted retention campaigns (e.g., loyalty rewards, exclusive offers) for high-spending customers identified in the segmentation analysis.

Responsible Team:

- Growth & Marketing Team

Expected Outcome (60–90 days):

- Increased repeat purchase rate
- Higher customer lifetime value
- Stabilized revenue from core customer segment

4. Data Quality Notes

1. Missing and Inconsistent Order Totals

Some orders had missing or inconsistent total_amount values, which were recalculated using line-item data (quantity * unit_price) from the order_items table.

Impact if incorrect: If recalculated totals are inaccurate, revenue-based analyses (Q2, Q4, Q5, Q8) may be overstated or understated.

2. Duplicate Customer Records

Duplicate customers were identified based on email. Records linked to active orders were preserved, while unlinked duplicates were removed to maintain referential integrity.

Impact if incorrect: Customer-level metrics (e.g., segmentation, conversion rates) could be inflated or misleading.

5. What the Data Cannot Tell Us

The dataset does not provide insight into why customer retention is declining.

For example:

- Are customers leaving due to pricing, delivery delays, or poor product quality?

Additional data required:

- Customer feedback or survey data
- Session/activity data (user behavior before churn)
- Customer support interactions